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Bear Stearns and the Seeds of Its Demise

"I just simply have not been able to come up with anything, even with the benefit of hindsight, that would have made a difference."

—Alan D. Schwartz[1]

John Corso hung up the phone on January 15, 2008. He had been talking with Michael Minikes, a senior executive at Bear Stearns (Bear). This was Minikes's second call in a matter of weeks. The first call had come in late December, shortly after Bear had disclosed a $1.9 billion write-off of bad loans. This time, Minikes had wanted to discuss Alan Schwartz's promotion to CEO following James E. "Jimmy" Cayne's resignation the previous week. Minikes reassured him that the firm was in good hands and was expecting better results this quarter. Corso understood the subtext of the call. During the past year, Bear had experienced a series of wounds—some self-inflicted and some not—and rumors persisted about the firm's ability to survive the current credit crisis because of its large exposure to mortgage-backed securities. Corso was the manager of an $800 million hedge fund that held its brokerage account at Bear.[2] Though he himself had little exposure to the mortgage market, his long–short fund kept sizable cash balances at the firm. Corso had a long-standing relationship with Cayne and Bear going back many years. When certain regulatory issues had been raised about his fund in 2001, Bear had stood by him. Loyalty and admiration for Bear's grittiness had kept him a client so far. But with mounting pressures on the firm, Corso wondered if now might not be the time to move his business from Bear.

History of Bear Stearns

The Bear Stearns Companies Inc. was a publicly listed holding company that, through its subsidiaries, was principally engaged in investment banking, sales and trading, and asset management. In 2007, it was the fifth-largest US investment bank with nearly $400 billion in assets and more than 14,000 employees worldwide. That represented astonishing growth, relative to the $500,000 in capital with which Joseph Bear, Robert Stearns, and Harold Mayer had founded the firm in 1923. The young Bear prospered in the fast-paced markets of the Roaring Twenties—it began trading in government securities and soon became a leader in this area.

[1] Senate Banking Committee, Testimony by Alan D. Schwartz, April 3, 2008.

[2] As of November 30, 2007, Bear held approximately $86 billion in customer margin and $88 billion in customer short balances in its prime brokerage business.

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Throughout its history, Bear developed a culture of risk taking that grew out of its trading operations. Over the years, Bear's top management rose from the trading floor. In 1933, Salim L. "Cy" Lewis, a former runner for Salomon Brothers, was hired to direct Bear's new institutional bond trading department. Lewis, who later became chairman, built Bear into a large, influential firm. Alan "Ace" Greenberg, who succeeded Lewis as chairman, started as a clerk at the firm in 1949, at age 21. He moved up rapidly within the company; by 1953, he was running the risk arbitrage desk, and by 1957, he was trading for the firm. When he became chairman in 1978, Greenberg had earned a reputation as one of the shrewdest traders on Wall Street.[3]

More than anyone, Greenberg defined and shaped Bear's persona through the traders he hired. He shunned the "frat boys" from the best families and schools that other top Wall Street firms stocked up on in favor of the "bridge and tunnel" crowd.

> The Bear, as old-timers still called it, cared about one thing and one thing only: making money. Brooklyn, Queens, or Poughkeepsie; City College, Hofstra, or Ohio State; Jew or Gentile—it didn't matter where you came from; if you could make money on the trading floor, Bear Stearns was the place for you.[4]

Bear was where Kohlberg met Kravis and Roberts and where Sandy Weill started after graduating college. Greenberg coined a name for his hires: PSDs, for poor, smart, and a deep desire to get rich.

Greenberg's protégé, Jimmy Cayne, took over as Bear's CEO in 1993, while Greenberg retained the title of chairman. In contrast to Greenberg, whose executive style was known to be impulsive, Cayne took a more cautious approach and avoided big risks. Together, Cayne and Greenberg were thought to make a powerful and well-balanced team. Yet Cayne remained the quintessential PSD. He was a cigar-chomping kid from Chicago's South Side, who in his early years sold scrap metal for his father-in-law. After a divorce, he found himself driving a taxi while pursuing his beloved pastime, playing bridge. It was at a bridge table where Greenberg met Cayne and famously told him, "If you can sell scrap metal, you can sell bonds."[5] Cayne found his calling on the trading floor, moving huge amounts of New York City municipal bonds during the city's financial crisis of the 1970s. He became the embodiment of Bear, a go-it-alone maverick, impervious to what Wall Street thought—so long as Bear made money.

The last member of Bear's management team, Alan Schwartz, was the exception. Schwartz was a member of Duke's varsity baseball team and a top student. After an arm injury, he turned from baseball to investment banking and joined Bear's research department in 1976. His background was not in trading, but in corporate finance, especially in acquisitions of media and entertainment companies. He became head of investment banking in 1985 and then copresident in 2001. Unlike his rough-around-the-edges predecessors, Schwartz was described as a "smooth operator." When advising Michael Eisner on Disney's acquisition of Capital Cities/ABC, Inc., in 1996, he told him, "Stay cool. Stay calm. Don't overreact."[6]

Bear Stearns' Asset Management: Hedge Funds

During the booming 1990s, when most of Wall Street grew rich trading stocks, Cayne kept Bear focused primarily on bonds and trading. Eventually Bear, like most on Wall Street, branched into asset management.

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[3] "Bear Stearns Companies, Inc.," FundingUniverse.com, http://www.fundinguniverse.com/company-histories/Bear-Stearns-Companies-Inc-Company-History.html (accessed September 29, 2008).

[4] Bryan Burrough, "Bringing Down Bear Stearns," *Vanity Fair*, August 2008.

[5] Burrough.

[6] "You Can Just Call Alan D. Schwartz 'Mr. Smooth,'" *New York Magazine* online Daily Intel, January 9, 2008, http://nymag.com/daily/intel/2008/01/you_can_just_call_alan_d_schwa.html (accessed Sept. 29, 2008).

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Bear Stearns Asset Management (BSAM) provided asset management services to institutional clients and high-net-worth individuals across all major asset classes, including money markets, fixed income, currencies, and equities. BSAM also provided investment services to the company's proprietary and third-party hedge funds. Unlike some firms, Bear promoted its own traders rather than outsiders to run BSAM's funds, and each fund specialized in a specific type of security rather than a diversified mix of securities.

In 2003, Bear tapped Ralph Cioffi to run one of its new hedge funds, the High-Grade Structured Credit Strategies Master Fund (High-Grade fund). Until the events of 2007, Cioffi was a Bear star. He graduated in 1978 with a business degree from Vermont's Saint Michael's College and joined the firm in 1985 as a bond salesman. By 1989, he was head of the Fixed Income sales group. At that point, he considered leaving to launch his own hedge fund, but Bear convinced him to stay and lead the firm's charge into structured finance.[7]

The fund may have touted its sophisticated investment strategies, but in truth its strategy was simple and formulaic in nature.

Step 1: The High-Grade fund raised capital from investors and used it to buy collateralized debt obligations (CDOs), which were backed by AAA-rated subprime, mortgage-backed securities (MBSs).

Step 2: Through the use of leverage, the fund bought more CDOs than it could have with its own capital. Because CDOs paid an interest rate higher than the cost of borrowing, every incremental unit of leverage added to the fund's total expected return.

Step 3: The fund purchased credit default swaps (CDSs) as insurance against movements in the credit market because the use of leverage increased the fund's overall risk. CDSs were expected to pay off when credit concerns caused the bonds' value to fall, effectively hedging some of the risk of falling collateral values.

Due to the high rates of return possible on AAA-rated subprime MBSs, after deducting the cost of the debt to purchase the subprime MBSs and the cost of credit insurance, the fund was left with a positive rate of return, or "positive carry" as it was termed in the hedge fund industry.[8]

The High-Grade fund was marketed to investors as a "conservative" investment because its portfolio included low-risk, high-rated securities, and it was managed by experts in mortgage-backed securities. It attracted wealthy individuals, pension funds, and other entities that sought a safe yet profitable investment. These investors were motivated, especially in 2003 and 2004, by a search for yield due to historically low interest rates (**Exhibit 1**). In the aftermath of September 11, 2001, the US Federal Reserve (Fed) had moved aggressively to cut interest rates to stave off a recession. During 2003, interest rates declined to 1%, implying near-zero or negative real rates of interest. This low-interest-rate environment spurred increases in mortgage refinancing, new mortgages, and substantial increases in house prices. With house prices increasing, mortgage-backed securities seemingly offered both safety and yield.

For most of its existence, the High-Grade fund was profitable, posting positive gains every month and a cumulative return of nearly 50% through January 2007. But as the housing market began to cool in 2006, its returns began to even out. In August 2006, Cioffi opened a second fund called the High-Grade Structured Credit Strategies Enhanced Master Fund (Enhanced fund). Investors were told that the Enhanced fund

[7] Matthew Goldstein and David Henry, "Bear Stearns' Bad Bet," *BusinessWeek*, October 11, 2007.

[8] This example is drawn from information found in "Dissecting the Bear Stearns Hedge Fund Collapse," Investopedia.com, http://www.investopedia.com/articles/07/bear-stearns-collapse.asp (accessed Sept. 29, 2008).

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would generate greater profits than the High-Grade fund, but with only limited additional risk, in part because the fund would invest an even higher proportion of its assets in low-risk securities. The increased profits would result from greater use of leverage.

The Roots of the Problem[9]

Over the previous decade, the traditional business of banks—loan making—had undergone a major transformation. Banks had once granted mortgages and loans and kept them on their books, but in recent years they had moved to an "originate and distribute" model in which they granted mortgages and loans, repackaged them, and sold them to other financial investors. Investment banks had also transformed their businesses, moving away from advising and conducting fee-oriented transactions for clients and toward a greater focus on "principal transactions," wherein their own or shareholders' funds were invested in securities or other activities. Increasingly, investment banks' profits and compensation were based on the results of these investments and their proprietary trading.

Securitization

After originating a mortgage or loan, a bank could either keep it and insure itself by buying a CDS or sell it outright. Instead of selling or protecting individual loans, banks typically first pooled the assets to create portfolios of mortgages, loans, corporate bonds, or other assets. These assets were typically transferred to a special purpose vehicle (SPV), whose function was to collect the principal and interest from the underlying assets and convey them to the holders of the structured products or asset-backed securities (ABSs).

The formation of portfolios had two purposes. The pooling of assets helped to diversify risk, and tranching (dividing the cash flows from the portfolios into separate claims) allowed securities to be tailored to meet the preferences of different investors. The safest tranche of a structured product paid a relatively low interest rate, because it was the first to be paid out of the cash flows to the SPV. The top tranche was also safer to the extent that the underlying assets were less correlated. Holders of the most junior tranche—or equity tranche—were paid only after all other tranches had been paid. The mezzanine tranches were in between. Because the senior tranches got paid first, the junior tranches of ABSs resembled a leveraged position in the underlying cash flows. The tranches were sold to pension funds, hedge funds, structured investment vehicles (SIVs), and other investors, while the equity tranche was usually (but not always) held by the issuing bank to ensure monitoring of the loans.

Asset-backed securities went by many names. CDOs were the most common form. Each CDO consisted of several tranches of an underlying portfolio of debt, such as corporate bonds or mortgages.[10] CDOs were typically floating-rate instruments benchmarked to LIBOR or US Treasury rates to protect their value from changing interest rates. Almost all CDOs were sold as private placements, and therefore there was little transparency about their ongoing value. **Exhibit 2** shows the growth in structured products by the type of collateral. CDO issue volume had grown from less than $25 billion annually when they were introduced in the mid-1990s, to more than half a trillion dollars annually in 2006 and 2007.

The main advantages of securitization were that it allowed risk to be shifted to those who could bear it most efficiently and that it was spread widely among market participants. The main disadvantage of

[9] This section was developed from Markus Brunnermeier, "Deciphering the 2007–08 Liquidity and Credit Crisis," *Journal of Economic Perspectives* (2008, forthcoming).

[10] If the tranches were derived from a portfolio of loans, they were also referred to as collateralized loan obligations (CLOs) and if from mortgages, they were called collateralized mortgage obligations (CMOs). CDOs of a pool of CDOs were referred to as "CDO squared."

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securitization was that the transfer of credit risk distanced the borrowers from the lenders. The banks' incentive to carefully approve loan applications, and their incentive to monitor (and even to collect) the loans was weakened considerably. Because a substantial portion of credit risk was soon passed on to other financial institutions, banks held the full risk of the loans for only a few months. The reduced incentives to monitor, spurred by securitization, led to an erosion of lending standards and to excesses in lending. Mortgage brokers offered teaser rates, no-documentation mortgages, and NINJA ("no income, no job or assets") loans. These mortgages were granted on the assumption that house prices would rise, making background checks unnecessary, since the lender could always refinance against the value of the house.

Subprime mortgages accounted for about 15% of all mortgages in 2001–07.[11] The outstanding value of US subprime mortgages was estimated at $1.3 trillion as of March 2007. **Exhibit 3** shows the credit standards associated with subprime loans from 2001 to 2007, and **Exhibit 4** shows their associated delinquency rates through May 2007. The delinquency rates of adjustable-rate subprime mortgages rose to 16% in October 2007 and to 21% in January 2008.[12] **Exhibit 5** shows the trend in housing values from 1995 to 2007.

Role of Rating Agencies

Structured products were attractive to investors who sought the safety of high ratings and took the ratings at face value. There were differences in the ratings of structured products and corporate bonds. First, while ratings agencies charged a fee to rate either a corporate bond or a structured product, the fees were generally three times higher for CDOs. To rate a CDO issue, Standard & Poor's (S&P) charged as much as 12 basis points of the total value of the issue compared with up to 4.25 basis points for a corporate bond rating. The rating agencies claimed the higher fees were justified because the structures of CDOs were more complex.[13] Structured products were also an important contributor to the growth in revenues and earnings of the three major credit rating agencies, Moody's, S&P, and Fitch.[14]

Second, rating agencies participated at every level of packaging a CDO. Issuers of CDOs worked closely with rating agencies to determine the "tranching attachment points," or rating cutoffs for the tranches. Unlike the passive process of rating corporate debt, rating agencies advised CDO assemblers how to maximize the size of the top (highest-rated) tranches to garner the most profit from the CDO. CDO tranches were always sliced in such a way as to just result in an AAA rating ("rating at the edge").

Third, the rating agencies rated the structure of the CDO, but did not investigate the underlying credit quality of the assets that made up the CDO. They did not, for example, have access to individual loan files, nor could they verify the information provided in loan applications. "We aren't loan officers," said Claire Robinson, head of asset-backed finance for Moody's. "Our expertise is as statisticians on an aggregate basis. We want to know, of 1,000 individuals, based on historical performance, what percent will pay their loans?"[15]

The credit agencies stress-tested the structure of CDOs using Monte Carlo simulations that were based in part on past default history and lending practices. Several assumptions drove this analysis. First, real estate

[11] Subprime mortgages were the lowest-quality loans, and Alternative-A mortgages were granted to borrowers who were not quite prime borrowers but had better credit than subprime borrowers. Subprime borrowers were generally defined as individuals with limited income or having FICO credit scores below 620 on a scale that ranged from 300 to 850. "Hybrid" mortgages initially had fixed rates that later converted to adjustable rates. Common subprime hybrids included "2-28 loans," which offered a low initial fixed interest rate for 2 years after which the loan reset to a higher adjustable rate for the remaining 28 years of the loan.

[12] "U.S. Foreclosure Activity Increases 75 Percent in 2007," realitytrac.com, January 29, 2008.

[13] Richard Tomlinson and David Evans, "The Ratings Charade," Bloomberg.com, July 2007.

[14] Moody's reported revenue of $1.52 billion in 2006 for credit rating. Structured finance accounted for 44% of the revenues, or $667 million, compared with $485 million from company credit ratings.

[15] Roger Lowenstein, "Triple-A Failure," *New York Times Magazine*, April 27, 2008.

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markets were thought to be largely uncorrelated across the country. That is, a national market did not exist for real estate and thus, loan defaults in California, for example, would be largely uncorrelated with loan defaults in New York. Second, defaults were predicted based on an analysis of past underwriting standards with respect to mortgage lending. To the extent that lending standards had become less stringent over time, the models would fail to anticipate the increase in default rates that might arise as a consequence of this.

Investment-grade CDOs typically returned 25% more than the average yield on a similarly rated corporate bond.[16] But the higher return on CDOs ultimately derived from riskier assets (subprime mortgages) that were structured to give the higher rating. Moody's reported that Baa-rated corporate bonds had average five-year default rates of 2.2%, whereas Baa-rated CDOs had five-year default rates of 24%.[17] The differences in default rates on instruments of the same rating clearly demonstrated that the ratings on CDOs were not comparable to corporate bonds. Yet few in the market appeared to appreciate the difference.

Mismatch in Maturity Structure

Because investors generally preferred assets with shorter-term maturities, banks created off-balance-sheet vehicles that shortened the maturity of long-term structured products. Most of these off-balance-sheet vehicles were in the form of conduits or structured investment vehicles (SIVs).[18] The aim of SIVs was to generate a spread between the yield on the asset portfolio and the cost of funding by managing the credit, market, and liquidity risks. Moody's reported as of September 2007 that the total nominal value of assets under SIV management was $400 billion. SIVs invested in illiquid long-maturity assets and financed them with asset-backed commercial paper (ABCP) or medium-term notes (MTN). These instruments had an average maturity that ranged from 90 days to just over one year. ABCP was backed by the underlying assets, allowing the owner to seize and sell the collateral asset in case of default. Due to the growth of these activities, ABCP became the most popular form of commercial paper as of 2006 (**Exhibit 6**).

Along with the growth in SIVs, investment banks financed a larger portion of their balance sheets with short-term collateralized lending in the form of repurchase agreements, or "repos." In a repo contract, a firm borrowed funds by selling a collateral asset today and promising to repurchase it at a later date. Importantly, the growth in repo financing as a fraction of investment banks' total assets was mostly due to an increase in overnight repos. Almost 25% of total assets were financed by overnight repos in 2007, an increase from 12.5% in 2000. Investment banks' increasing reliance on overnight financing required them to roll over a substantial amount of their funding on a daily basis.[19]

The trend to invest in long-term assets and borrow short-term increasingly exposed financial institutions to liquidity risk, because the ABCP or repo market might suddenly dry up. Should this happen, banks would be forced to sell assets or draw on backup lines of credit (supplied by other financial institutions). The financial system therefore bore the liquidity risk of this maturity transformation. Moreover, because banks were large purchasers of structured products themselves, a substantial amount of credit risk never left the financial system.

[16] One reason for the higher yields on CDOs was that their collateral was just sufficient to achieve an AAA-rating compared with corporate debt, where the collateral frequently exceeded the minimum needed for that rating.

[17] Tomlinson and Evans.

[18] Another motivation for SIV structures was that moving loans into off-balance-sheet vehicles and granting a credit line to ensure an AAA-rating allowed commercial banks to save on regulatory capital. The Basel I accord imposed an 8% capital charge on banks for holding loans on their balance sheets, whereas the capital charge for contractual credit lines was much lower (Brunnermeier).

[19] Brunnermeier.

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Growth of Credit Default Swaps

A CDS was a contract between two counterparties, whereby the buyer made periodic payments to the seller in exchange for the right to a payoff in case of default. A CDS was insurance that could be used by a debt holder to hedge or to protect against default.[20] CDSs could be used to manage credit risk without necessitating the sale of the underlying bonds. But because there was no requirement to actually hold the bonds, a CDS could also be used to speculate. For example, if a company faced financial difficulty, the company's bonds would likely trade at a discount, and $1 million in bonds might be purchased by an investor for $900,000. If the company was able to repay its debt, the investor would receive a $1 million and make a profit of $100,000. Alternatively, one could enter into a CDS with another investor by selling credit protection and receive a premium of $100,000. If the company did not default, the investor would make a $100,000 profit without having invested in anything.

A seller in a CDS effectively had an unfunded exposure to the underlying cash bond or "reference entity," (e.g., firm, SPV, SIV), with a value equal to the notional amount of the CDS contract. Like the bonds themselves, CDSs could be bought and sold. The cost to purchase the swap from another party fluctuated as the perceived credit quality of the underlying company changed. Swap prices typically declined when creditworthiness improved and rose when it worsened.[21] But these pricing differences were amplified in CDSs compared with bonds, making CDSs attractive to those wishing to speculate on changes in an entity's credit quality.

In many instances, the amount of CDSs outstanding for an individual company greatly exceeded the bonds or underlying collateral value. A company could have, for example, $1 billion of debt outstanding and $10 billion of CDS contracts outstanding. If the company were to default, and the recovery rate was 40 cents on the dollar, then the loss to investors holding the bonds would be $600 million. But the loss to CDS sellers would be $6 billion. As CDSs were bought and sold, it became difficult for the original purchaser of the insurance to locate the party responsible to pay the insurance and therefore judge the creditworthiness of the counterparty (**Exhibit 7**). When concerns about the creditworthiness of CDS counterparties rose, purchasers who bought CDSs for insurance were forced to increase their capital or reduce their exposure to credit risk by other means.

Since 2001, the CDS market had experienced explosive growth—most of it occurring after 2005—and by mid-2007, the total notional amount of CDSs outstanding was more than $45 trillion. That was roughly twice the size of the US stock market (valued at $21.9 trillion) and far exceeded the $7.1 trillion mortgage market and $4.4 trillion US Treasuries market. By year-end 2007, the notional amount of CDSs outstanding had grown to $62.2 trillion, a 37% increase from midyear.[22]

Ultimately, the emergence and growth of these structured products and credit derivatives substantially increased the liquidity risk of the financial sector. Yet the growth continued seemingly unabated. Why? Citigroup's former CEO, Chuck Prince, provided a succinct answer by referring to Keynes's analogy between bubbles and musical chairs: "When the music stops, in terms of liquidity, things will be complicated. But as long as the music is playing, you've got to get up and dance. We're still dancing."[23] Said differently, so long as

[20] A CDS was an insurance product but was called a "swap" to avoid the regulation associated with insurance.

[21] Suppose a company had CDSs currently trading at 250 basis points (premium). This implied that the cost to insure $10 million of its debt was $250,000 per annum (face value × premium). If the same CDS was later trading at 300 basis points, it indicated that the market believed the company had greater risk of default on its obligations.

[22] International Swaps and Derivatives Association (ISDA). The gross notional amount of CDSs outstanding was a measure of activity, not a measure of value at risk because it did not factor in netting and collateral values. Because CDSs were privately negotiated derivatives, ISDA data were obtained from a survey of approximately 90 firms. Bear reported approximately $11 trillion of gross notional amount of CDSs outstanding in November 2007.

[23] As quoted in Brunnermeier.

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investors were willing to buy structured products, banks found it more profitable to follow the trend and dance. No single bank had an incentive to buck the trend and sit down before the music ended. Nevertheless, by late 2006, there was a growing sense that a day of reckoning was coming, at which point everybody would rush to sell high-risk bonds and reverse positions in credit derivatives.

The Music Ends

The first warning sign came on November 28, 2006, when Moody's issued a report warning that the percentage of subprime loans without documentation was rising. This was followed on December 7, 2006, with the news that Ownit Mortgage Solutions, the eleventh-largest issuer of subprime mortgages, had shuttered its doors. In February 2007, New Century Financial Corporation, the number-two lender in the subprime market, announced the restatement of earnings for the first three quarters of 2006 to account for larger losses on its loan portfolio. Within a month, it was cut off from additional financing by its creditors.[24] The news began as a trickle—but it was becoming increasingly evident that the number of defaults and losses on subprime mortgage were growing at an alarming rate.

Things started to go wrong for Ralph Cioffi and the Bear funds in early 2007. The funds had purchased large amounts of CDOs in late 2006 and January 2007. At the same time, the funds were shorting the ABX index, which was tied to subprime loans (**Exhibit 8**).[25] Until March, it was a winning trade. In February, as news about subprime mortgages worsened, CDO assets dropped in price. The market value of assets in the Enhanced fund fell 14.4%, which was offset by a 13.5% gain on the ABX index, which declined that month. The High-Grade fund assets were marked down 4.4% in February, but the fund remained profitable because its short positions on the ABX earned 5.3%.[26]

Then in March, the ABX index started to stabilize and Cioffi's funds got squeezed on two fronts: its CDO bonds were falling in value and its ABX positions were no longer making money. The Enhanced fund's losses were magnified by the large amount of borrowing it used to finance its investments. As of January 31, 2007, it had $699 million in investor capital, but more than $12 billion in investments. A month later, its investor capital had dropped to $667 million, but investments in CDOs had increased to $15 billion. Over the course of a few months, the fund had added to its bullish bets and doubled down on its bearish bets. By the end of April, the fund was down 23% year-to-date.[27]

In early June, word began circulating that Cioffi's funds were in need of cash and might not be able to make margin calls.[28] Investors attempted to seek redemptions and lenders to repossess their collateral on loans. Part of the concern stemmed from the lack of transparency about the funds' assets. Given the illiquid nature of CDOs, there was no easily determined value for the assets. In 2004, 25% of the High-Grade fund's assets were based on "fair value," and two years later, more than 70% of its assets—$616 million—were calculated on this basis. For the Enhanced fund, 63% of its assets in 2006—$589 million—were "fair valued." "Fair value" was determined by a process of "marking-to-model" as opposed to marking-to-market. In effect, this meant that the value of a majority of the funds' net assets was estimated by its managers.[29]

[24] For a listing of significant events that took place in the credit crisis, see Stuart Turnbull, "The Credit Crisis of 07," (working paper, University of Houston, Bauer College of Business, November 9, 2007).

[25] "The New U.S. Asset Backed Credit Default Swap Benchmark Indices," ABX Indices, January 2006, http://www.markit.com.

[26] Kate Kelly and Serena Ng, "Behind Bear Stearns Bid to Prop Up Troubled Funds—Loan of $3.2 Billion Caps Days of Drama; Subprime-Sector Fear," *Wall Street Journal*, June 25, 2007.

[27] Kelly and Ng.

[28] A margin call was triggered when lenders requested additional cash or collateral on a loan.

[29] Matthew Goldstein and David Henry, "Bear Stearns Bad Bet," *BusinessWeek*, October 11, 2007.

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On June 14, 2007, Cioffi met with a group of creditors and asked them to cancel their default notices and accept a 12-month freeze on new margin calls. Representatives from Merrill Lynch and J.P. Morgan, which were owed roughly $850 million and $500 million, respectively, and had at least one outstanding default notice, balked at the nervy request and took possession of their collateral. On June 25, in an attempt to preserve its reputation and stave off further margin calls, Bear loaned $3.2 billion to the funds. It was to no avail. In July, Bear acknowledged to investors that there was "effectively no value left" in the Enhanced fund and "very little value left" in the High-Grade fund. To their dismay, investors learned that the two funds—which had an estimated aggregate value of $1.6 billion in capital at the end of 2006—were essentially worthless. On July 31, 2007, the funds filed for bankruptcy.

The Markets Melt Down

In August 2007, the credit crisis came to a full boil. Almost daily there were announcements of hedge fund closings and loan write-offs. Inside Bear, the firm believed the crisis had passed, albeit at some cost. In early August, Cayne and CFO Sam Molinaro Jr. held a conference call to reassure investors and articulate the steps Bear was taking to shore up its financial position. The firm had increased the maturity of some of its financing, adding a new longer-term borrowing agreement. Molinaro emphasized the firm's strong cash holdings of $11.4 billion. At the same time, he described the market conditions as being among the most challenging he had ever seen. Cayne told investors that the firm did not have large exposures to mortgage-backed securities. That seemed at odds with the nearly $50 billion in mortgage-related securities Bear held, the majority of which were financed with overnight repos (**Exhibit 9**). Rather than reassuring investors, the meeting spurred investors' fears, driving the broader market and Bear's shares down with it.

A few days later, Bear announced the resignation of Warren Spector, copresident and COO of the firm. Spector had helped launch Bear Stearns Asset Management and was responsible for overseeing the firm's trading in stocks and bonds. Spector, reportedly surprised at the turn of events, believed Bear was beginning to get a handle on its problems in the subprime area. But Cayne had lost faith in Spector, blaming him for lax oversight of the hedge funds. Upon Spector's resignation, Schwartz was promoted to president.

In response to the deteriorating conditions, Fed chairman Ben Bernanke reversed course from his position in May—when he had stated, "we do not expect significant spillovers from the subprime market to the rest of the economy or the financial system"—to provide liquidity to the financial system.[30] On August 9 and 10, the Fed intervened to supply $62 billion of additional funds to the banking system. On August 16, the Fed reported that the total commercial paper (CP) outstanding had fallen more than $90 billion over the previous week. The lack of demand for CP made it difficult for borrowers to roll over debt. This drop was most pronounced for ABCP (**Exhibit 6**). These actions did little to calm the markets, and on September 18, the Fed lowered its target federal funds rate 50 basis points to 4.75%, and later that fall, it was cut another 25 basis points. The Fed cited concerns that "the tightening of credit conditions had the potential to intensify the housing correction and to restrain economic growth."[31]

Throughout the fall, Bear took additional steps to bolster investor confidence. On September 20, 2007, it announced a new $2.5 billion share repurchase program to signal management's belief that its shares were undervalued. Apparently this view was shared by Joseph Lewis, who in September announced the purchase of a 7% stake in Bear for $860 million. The British billionaire had made his fortune investing in turnaround companies.

[30] Ben Bernanke, speech to Federal Reserve Bank of Chicago's 43rd Annual Conference on Bank Structure and Competition, Chicago, Illinois, May 17, 2007.

[31] Board of Governors of the Federal Reserve System press release, September 18, 2007, http://www.federalreserve.gov/newsevents/press/monetary/20070918a.htm (accessed Oct. 6, 2008).

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On October 5, 2007, Schwartz and Cayne held a presentation to update investors on the state of the firm. Schwartz declared that "things are getting better and that liquidity had improved" in light of the Fed's decision to lower its benchmark interest rate. At the same presentation, Cayne emphasized his confidence that Bear "would weather the storm and come out a stronger, more diversified and a greater organization." He added that the firm was not looking for an equity infusion and would only consider a potential partner that "brings along geographic, strategic value to us."[32] Within a few weeks, Bear announced a joint venture with China's CITIC Securities. Each firm would invest $1 billion in the other to pursue the growing market for financial services in China. Although the deal was a positive development for the firm, it did not provide an equity infusion; it would take months for the deal to close. During the same month, the firm announced the layoff of some 300 employees in an attempt to reduce costs.

On November 1, 2007, a page-one article appeared in the *Wall Street Journal*, documenting Cayne's long absences for bridge or golf tournaments and questioning his oversight when critical decisions were made during the summer's hedge fund crisis. A number of Cayne's longtime associates defended him and pointed to his highly successful record over 14 years. Other investors, such as Bruce Sherman, CEO of Private Capital Management and Bear's fourth-largest shareholder, were less forgiving and advocated for a change.[33]

On December 20, 2007, Bear reported the first loss in its 84-year history. For the quarter ended November 30, the firm reported –$854 million of net income or –$6.90 per share compared with $563 million or $4.00 per share a year ago. The firm also wrote off $1.9 billion of losses on its loan portfolio. Following the write-down, S&P lowered the company's long-term senior debt rating from A+ to A. S&P believed its mortgage-related exposure was manageable, but was concerned that the company's concentration in fixed income might hinder future revenue generation. In response to the disappointing earnings and ratings downgrade, Bear's CDSs jumped from 108 basis points at the end of October to 176 basis points at the end of December 2007 (**Exhibit 10**). In light of the poor results, the executive committee decided to forgo bonuses. Bear's income statement, balance sheet, and leverage and capital adequacy ratios are shown in **Exhibits 11**, **12**, and **13**.

Although the firm's stock price had briefly rallied in October, it fell throughout the next two months, ending the year at $88 per share (**Exhibit 14**).

The Decision

As much as Corso had admired Cayne's stewardship of Bear through the years, his resignation and the promotion of Schwartz had not come as a surprise. Having known Cayne for many years, Corso considered that Cayne had not changed, but the world had.[34] Corso knew little about Schwartz except that he had never shown much interest in the firm's trading activities, which were now at the center of its current problems. Throughout the fall, Corso had watched the steps management had taken and was uncertain about how successful they had been in resolving its credit problems. Perceptions and appearances were important on Wall Street—to take action might confirm the firm's problems; to fail to act left the firm in the same potentially precarious position. Instead of managing the situation, Bear, a firm whose culture and fortunes were made trading and surmounting risk, seemed stymied by it. As Corso weighed his decision about his brokerage assets, one thought kept running through his mind—should a run develop on the bank, no one would want to be the last person in line at the teller's window.

[32] "Bear Stearns Denies Need to Seek Cash from Outside," *New York Times*, October 5, 2007.

[33] Kate Kelly, "The Fall of Bear Stearns: Lost Opportunities Haunt Final Days of Bear Stearns—Executives Bickered Over Raising Cash, Cutting Mortgages," *Wall Street Journal*, May 27, 2008.

[34] William D. Cohan, "The Rise and Fall of Jimmy Cayne," *Fortune*, August 25, 2008.

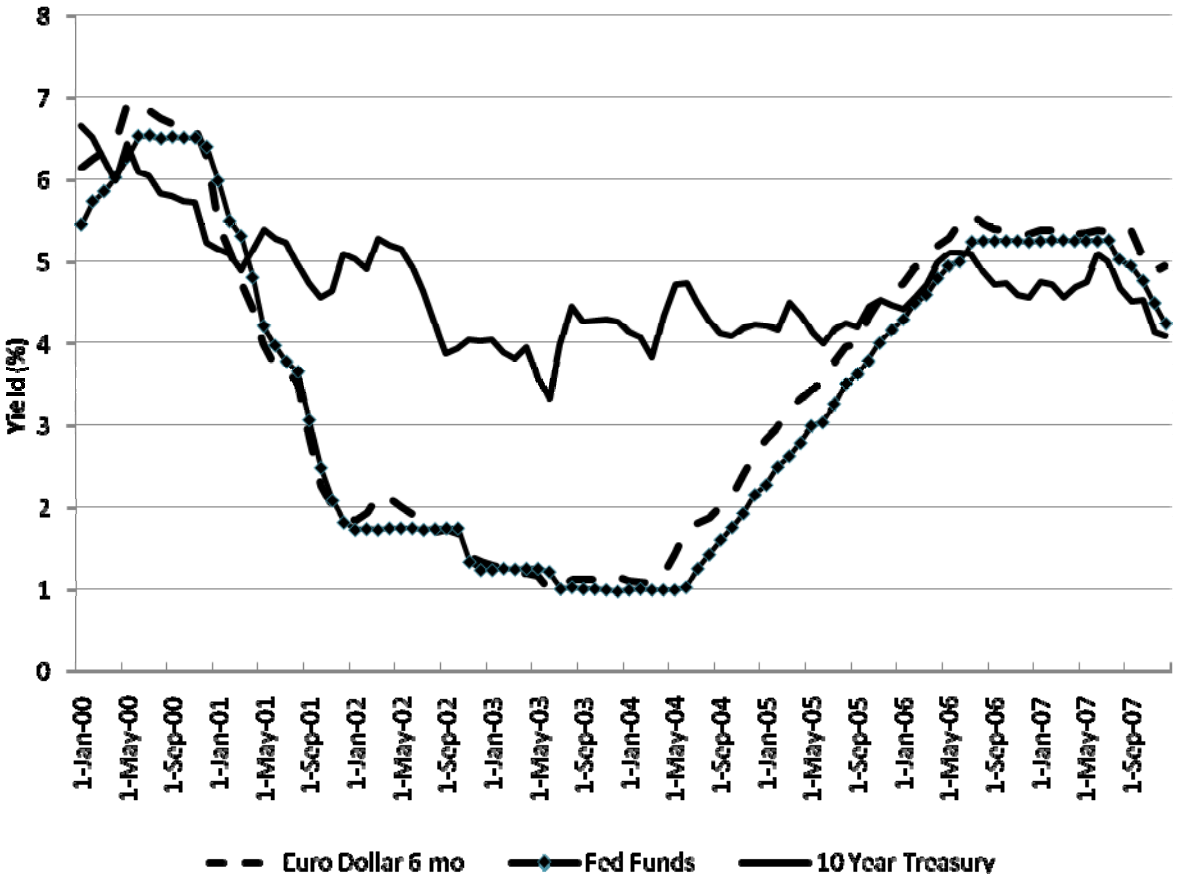
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Exhibit 1

Bear Stearns and the Seeds of Its Demise

Interest Rate Movements: 2000–07



Source: The US Federal Reserve.

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Exhibit 2

Bear Stearns and the Seeds of Its Demise

Global CDO Issuance by Underlying Collateral Value
(in millions of US dollars)

	TOTAL ISSUANCE	Investment-Grade Loans	High-Yield Loans	Investment Grade Bonds	High-Yield Bonds	Structured Finance[1]	Mixed Collateral[2]	Other Swaps[3]	Other[4]
2005-Q1	**49,610.2**	0.0	17,285.9	1,241.6	1,520.6	28,177.1	0.0	649.5	735.5
2005-Q2	**71,450.5**	0.0	18,963.1	1,979.8	498.8	46,720.3	0.0	927.7	2,360.8
2005-Q3	**52,007.2**	0.0	13,906.8	500.9	700.0	34,517.5	45.0	739.9	1,597.1
2005-Q4	**98,735.4**	0.0	21,049.9	322.6	355.0	67,224.2	42.0	144.7	9,597.0
2005 TOTAL	**271,803.3**	**0.0**	**71,205.7**	**4,044.9**	**3,074.4**	**176,639.1**	**87.0**	**2,461.8**	**14,290.4**
2006-Q1	**108,012.7**	0.0	24,470.8	12,822.8	600.8	66,220.2	0.0	202.8	3,695.3
2006-Q2	**124,977.9**	0.0	53,276.7	4,472.0	0.0	65,019.6	20.0	145.7	2,043.9
2006-Q3	**138,628.7**	0.0	41,971.8	3,224.4	340.1	89,190.2	0.0	362.3	3,539.9
2006-Q4	**180,090.3**	0.0	61,165.2	20,036.2	0.0	93,663.2	0.0	0.0	5,225.7
2006 TOTAL	**551,709.6**	**0.0**	**180,884.5**	**40,555.4**	**940.9**	**314,093.2**	**20.0**	**710.8**	**14,504.8**
2007-Q1	**186,467.6**	0.0	53,364.5	30,620.4	700.0	101,074.9	0.0	103.2	604.6
2007-Q2	**175.939.4**	0.0	51,656.3	23,643.8	1,200.7	98,744.1	0.0	140.6	553.9
2007-Q3	**93,063.6**	0.0	31,931.6	20,113.0	0.0	40,136.8	0.0	882.2	0.0
2007-Q4	**47,508.2**	0.0	13,385.2	9,853.0	250.0	23,500.1	0.0	21.1	498.8
2007 TOTAL	**502,978.8**	**0.0**	**150,337.6**	**84,230.2**	**2,150.7**	**263,455.9**	**0.0**	**1,147.1**	**1,657.3**

Source: Thomson Financial. Totals may not foot due to rounding.

[1] "Structured Finance" collateral included assets such as RMBS, CMBS, CMOs, ABS, CDOs, CDSs, and other securitized/structured products. RMBS = residential mortgage-backed securities; CMBS = commercial mortgage-backed securities; CMO = collaterized mortgage obligation; ABS = asset-backed securities; CDO = collaterized debt obligation; CDS = credit default swap.

[2] If a CDO had 51% or more of a single collateral type, it went into that bucket; otherwise it went into "Mixed Collateral."

[3] "Other Swaps" were non-CDSs that were collateral for a transaction.

[4] "Other" included collateral such as funds, insurance receivables, cash, and assets that were not captured by the other categories shown above.

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Exhibit 3

Bear Stearns and the Seeds of Its Demise

Loan Characteristics of the First-Lien Subprime Loans

	2001	2002	2003	2004	2005	2006	2007
Size							
Number of loans (thousands)	452	737	1,258	1,911	2,274	1,772	316
Average loan size (thousands of dollars)	126	145	164	180	200	212	220
Mortgage Type							
Fixed-rate mortgages (FRM) (%)	33.2	29.0	33.6	23.8	18.6	19.9	27.5
Adjustable-rate mortgages (ARM) (%)	0.4	0.4	0.3	0.3	0.4	0.4	0.2
Hybrid mortgages (%)	59.9	68.2	65.3	75.8	76.8	54.5	43.8
Balloon mortgages (%)	6.5	2.5	0.8	0.2	4.2	25.2	28.5
Loan Purpose							
Purchase (%)	29.7	29.3	30.1	35.8	41.3	42.4	29.6
Refinancing (cash out) (%)	58.4	57.4	57.7	56.5	52.4	51.4	59.0
Refinancing (no cash out) (%)	11.2	12.9	11.8	7.7	6.3	6.2	11.4
Credit Characteristics (Means)							
FICO score	601.2	608.9	618.1	618.3	620.9	618.1	613.2
Combined loan-to-value ratio (%)	79.4	80.1	82.0	83.6	84.9	85.9	82.8
Debt-to-income ratio (%)	38.0	38.5	38.9	39.4	40.2	41.1	41.4
Documentation required (%)	76.5	70.4	67.8	66.4	63.4	62.3	66.7
Costs							
Mortgage rate	9.70	8.70	7.70	7.30	7.50	8.40	8.60
Spread on ARM/hybrid mortgages	6.40	6.60	6.30	6.10	5.90	6.10	6.00
Comparative Rates (%)							
AAA-Rated—Corporate	7.08	6.49	5.67	5.63	5.24	5.59	5.56
BBB-Rated—Corporate	7.95	7.80	6.77	6.39	6.06	6.48	6.48
LIBOR—1-year	3.74	2.17	1.37	2.19	4.09	5.35	5.17

Source: Y. Demyanyk and O. Van Hemert, "Understanding the Subprime Mortgage Crisis," (working paper, Federal Reserve Bank of St. Louis, August 19, 2008). Information on comparative interest rates is from the Federal Reserve.

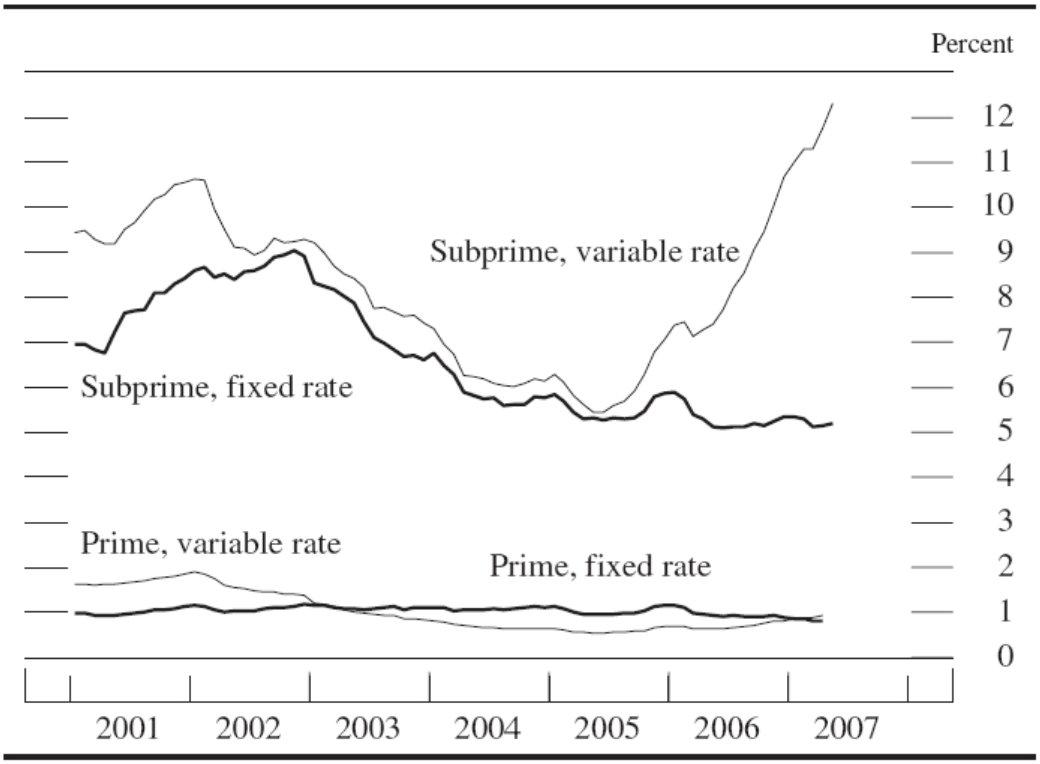
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Exhibit 4

Bear Stearns and the Seeds of Its Demise

Mortgage Delinquency Rates (2001–07)



NOTE: The data are monthly. Prime-mortgage data extend through April 2007, and subprime-mortgage data extend through May 2007. Delinquency rate is the percent of loans ninety days or more past due or in foreclosure. Prime mortgages include near-prime mortgages.

Source: US Federal Reserve, based on First American Loan Performance data.

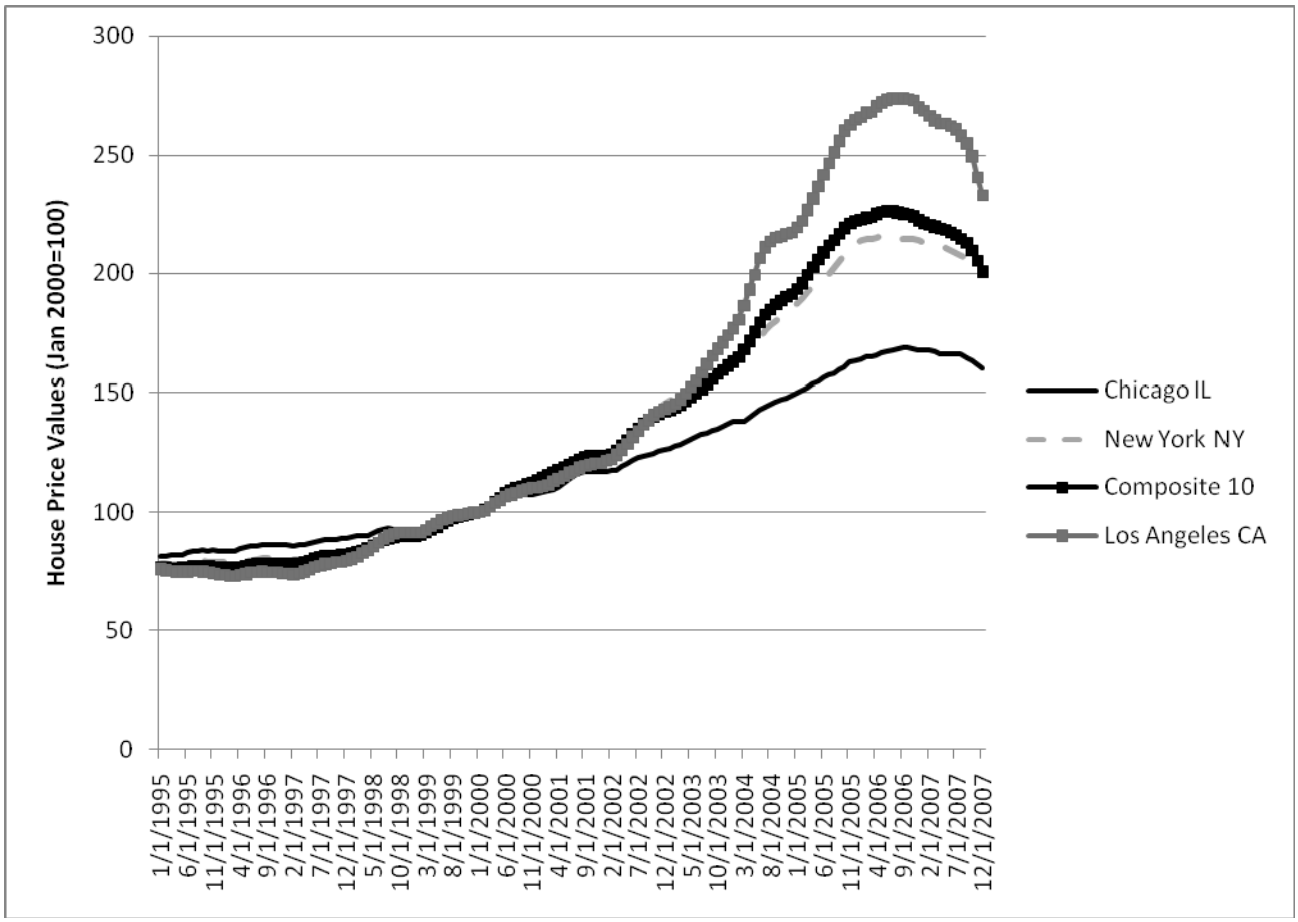
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Exhibit 5

Bear Stearns and the Seeds of Its Demise

Home Price Values for Composite of US Metropolitan Regions and Largest US Cities (1995–2007)



The "Composite 10" included the metropolitan regions of Boston, Chicago, Denver, Los Angeles, Las Vegas, Miami, New York, San Diego, San Francisco, and Washington, DC.

The S&P/Case-Shiller Home Price Indices measured the residential housing market, tracking changes in the value of the residential real estate market. To be eligible to be included in the indices, a house had to be a single-family dwelling. Condominiums and co-ops were specifically excluded. Houses included in the indices also had to have two or more recorded arm's-length sale transactions. As a result, new construction was excluded.

Source: Created by author using data from S&P/Case-Shiller Home Price Indices.

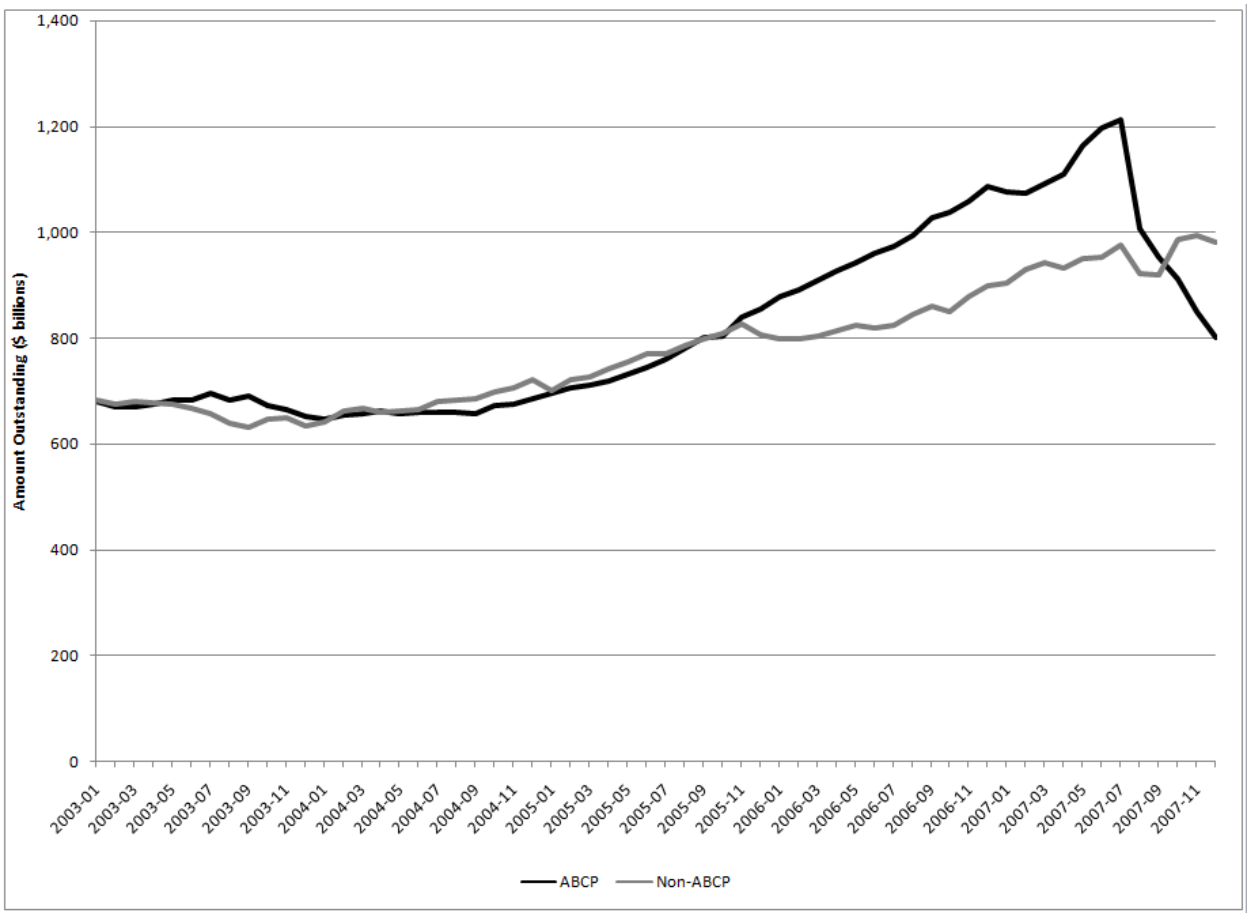
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Exhibit 6

Bear Stearns and the Seeds of Its Demise

The Commercial Paper Market: January 2003–December 2007



Note: ABCP was outstanding asset-backed commercial paper, and non-ABCP was unsecured financial, nonfinancial, and other commercial paper.

Source: Created by author using data from the Federal Reserve.

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Exhibit 7

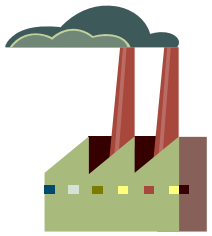
Bear Stearns and the Seeds of Its Demise

The Credit Default Swap Market

Purchasers of CDSs

Company XYZ issues $N in bonds

Purchased CDSs as default insurance
Made periodic payments to seller to
cover default risk on its bonds



Speculators also purchased CDSs
to bet on XYZ's creditworthiness

If speculators thought XYZ's credit was sound, they purchased seller swaps and took in the premiums from swap buyers.

If speculators thought XYZ's credit was doubtful, they purchased buyer swaps, made premium payments, and cashed in if XYZ faltered.

Sellers of CDSs

CDS Sellers were typically banks, investment banks, or insurance companies
Seller provided insurance to issuer against default
Seller received periodic payments from purchasers
And agreed to pay off $N on bonds in case of default

The original seller might offset its exposure by selling CDSs to another counterparty, which in turn sold it to another, and so forth. The outstanding amount of notional value grew with each transaction.



Which counterparty insures the company's bonds?

Does the counterparty have collateral to cover the bonds?

Source: Created by author.

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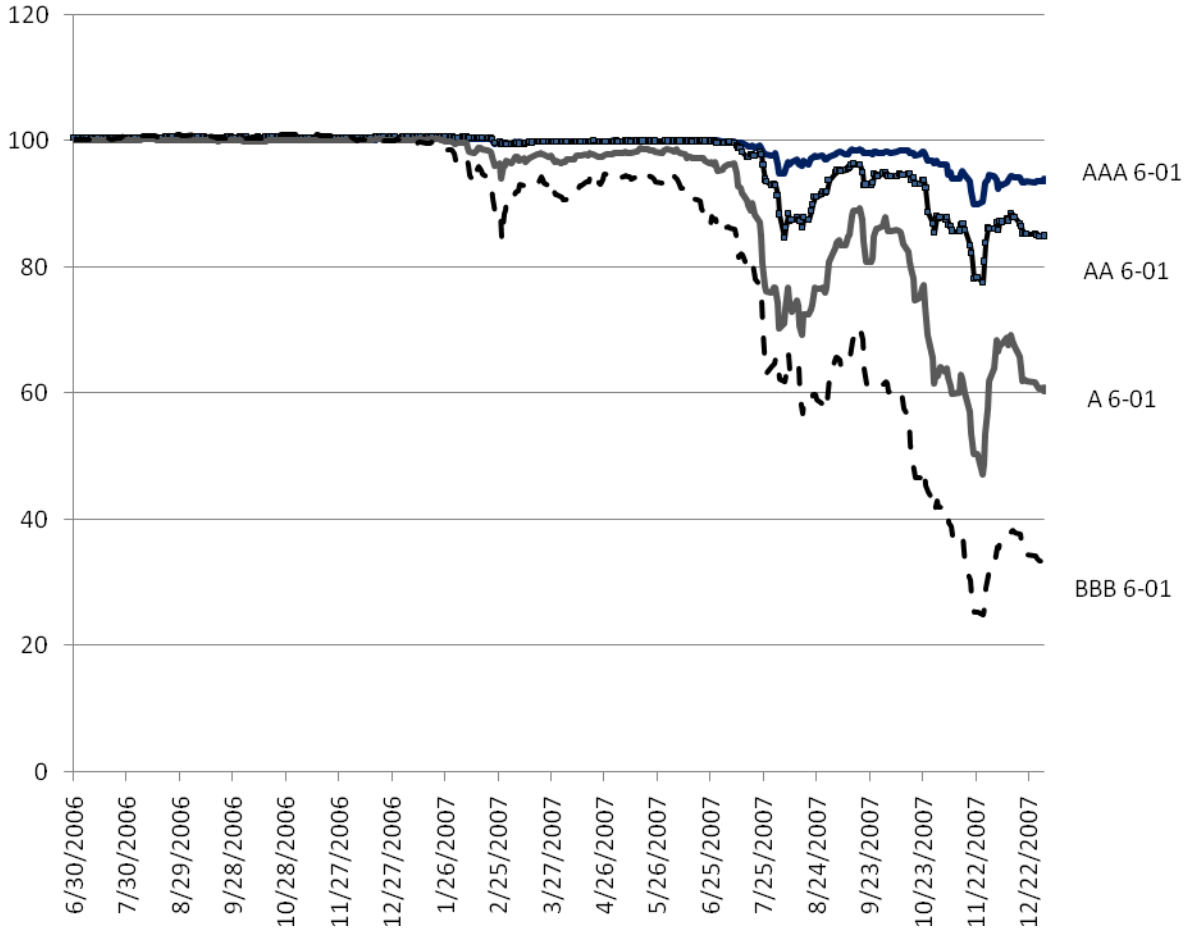
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Exhibit 8

Bear Stearns and the Seeds of Its Demise

The ABX Home Equity (HE) Indices: June 30, 2000–December 31, 2007



The ABX.HE was a tradable synthetic index of CDSs on US subprime asset-backed securities. The value of each index was 100 at initiation. The index was created from 20 deals of the largest subprime home equity ABS programs over a rolling six-month period. The ABX had separate indices based on the rating of the underlying subprime securities, ranging from AAA to BBB-minus. A decline in the ABX suggested that the securities had become more risky and that the value of CDSs had fallen.

Source: Created by author using data from ABX Indices, http://www.markit.com.

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Exhibit 9

Bear Stearns and the Seeds of Its Demise

Bear Stearns' Mortgage-Related Instruments at Fair Value
(in millions of US dollars)

	2007	2006
Financial Instruments Owned, at Fair Value		
U.S. government and agency	$12,920	$10,842
Other sovereign governments	672	1,372
Corporate equity and convertible debt	32,454	28,893
Corporate debt and other	26,330	32,551
Mortgages, mortgage- and asset-backed	46,141	39,893
Derivative financial instruments	19,725	11,617
	$138,242	$125,168
Financial Instruments Sold, But Not Yet Purchased, at Fair Value		
U.S. government and agency	$4,563	$11,724
Other sovereign governments	2,473	1,275
Corporate equity and convertible debt	18,843	12,623
Corporate debt and other	4,373	4,451
Mortgages, mortgage- and asset-backed	63	319
Derivative financial instruments	13,492	11,865
	$43,807	$42,257

"Financial instruments sold, but not yet purchased," are obligations of the company to purchase the specified financial instrument at the then current market price. These transactions resulted in off-balance-sheet risk as the company's ultimate obligation to repurchase such securities might exceed the amount recognized in the Consolidated Statement of Financial Condition.

The Valuation of Financial Instruments was reported on a basis consistent with SFAS No. 157, "Fair Value Measurements." As defined in SFAS No. 157, fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. Financial assets and liabilities carried at fair value were classified and disclosed in one of the following three categories: Level 1: Inputs based on quoted market prices for identical assets or liabilities in active markets. Level 2: Observable market based inputs or unobservable inputs that were corroborated by market data. Level 3: Unobservable inputs that were not corroborated by market data. CDOs fell in Level 3. Certain complex financial instruments and other investments have significant data inputs that cannot be validated by reference to readily observable data. These instruments are typically illiquid, long dated or unique in nature and therefore engender considerable judgment by traders and their management who, as dealers in many of these instruments, have the appropriate knowledge to estimate data inputs that are less readily observable. For certain instruments, extrapolation or other methods are applied to observed market or other data to estimate assumptions that are not observable.

Source: SEC; The Bear Stearns Companies Inc. annual report, 2007.

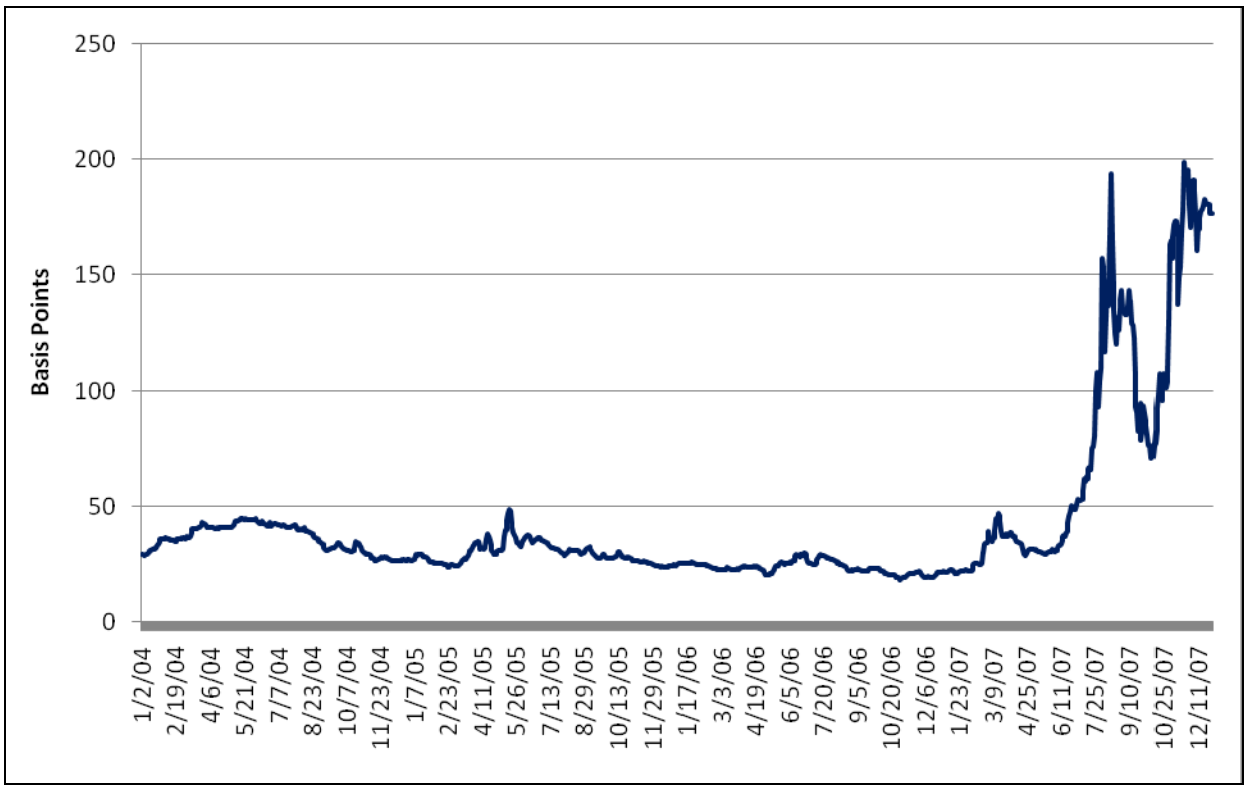
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Exhibit 10

Bear Stearns and the Seeds of Its Demise

Bear Stearns's Five-Year Credit Default Swap Rates: January 2004–December 2007



Note: Five-year swap rates were the price of default insurance for a five-year period. Premium for Bear Stearns' CDS were not available before 2003. Thereafter, annual CDS rates for Bear Stearns's debt averaged 30 bps in 2003, 36 bps in 2004, 30 bps in 2005, 23 bps in 2006, and 79 bps in 2007.

Source: Created by author using data from Merrill Lynch.

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Exhibit 11

Bear Stearns and the Seeds of Its Demise

Consolidated Statements of Income
(in millions of US dollars, except share and per-share data)

Fiscal Years Ended November 30,	2007	2006	2005
REVENUES			
Commissions	$1,269	$1,163	$1,200
Principal transactions	1,323	4,995	3,836
Investment banking	1,380	1,334	1,037
Interest and dividends	11,556	8,536	5,107
Asset management and other income	623	523	372
Total revenues	16,151	16,551	11,552
Interest expense	10,206	7,324	4,141
Revenues, net of interest expense	$5,945	$9,227	$7,411
NONINTEREST EXPENSES			
Employee compensation and benefits	$3,425	$4,343	$3,553
Floor brokerage, exchange and clearance fees	279	227	222
Communications and technology	578	479	402
Occupancy	264	198	168
Advertising and market development	179	147	127
Professional fees	362	280	229
Impairment of goodwill and specialist rights	227		
Other expenses	438	406	503
Total noninterest expenses	5,752	6,080	5,204
Income before provision for income taxes	193	3,147	2,207
(Benefit from)/provision for income taxes	(40)	1,093	745
Net income	$233	$2,054	$1,462
Preferred stock dividends	(21)	(21)	(24)
Net income applicable to common shares	$212	$2,033	$1,438
Basic earnings per share	$1.68	$15.79	$11.42
Diluted earnings per share	$1.52	$14.27	$10.31
Weighted average common shares outstanding:			
Basic (in millions)	130.2	131.7	130.3
Diluted (in millions)	146.4	148.6	147.5

Source: SEC; The Bear Stearns Companies Inc. annual report, 2007.

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Exhibit 12

Bear Stearns and the Seeds of Its Demise

Consolidated Statement of Financial Condition
(in millions of US dollars, except share data)

Fiscal Years Ended November 30,	2007	2006
ASSETS		
Cash and cash equivalents	$21,406	$4,595
Cash and securities deposited, clearing or segregated by federal regulations	12,890	8,804
Securities received as collateral	15,599	19,648
Collateralized agreements: securities purchased under agreements to resell	27,878	38,838
Collateralized agreements: securities borrowed	82,245	80,523
Receivables to customers, brokers, and dealers, and interest and dividends	53,522	36,346
Financial instruments owned, at fair value	122,518	109,200
Financial instruments owned and pledged as collateral, at fair value	15,724	15,968
Total financial instruments owned, at fair value	138,242	125,168
Assets of variable interest entities and mortgage loan special purpose entities	33,553	30,245
Net property, equipment, and leasehold improvements	605	480
Other assets	9,422	5,786
Total assets	$395,362	$350,433
LIABILITIES AND STOCKHOLDERS' EQUITY		
Unsecured short-term borrowings	11,643	25,787
Obligation to return securities received as collateral	15,599	19,648
Collateralized financings: securities sold under agreements to repurchase	102,373	69,750
Collateralized financings: securities loaned	3,935	11,451
Other secured borrowings	12,361	3,275
Payables to customers, brokers, and dealers, and interest and dividends:	88,606	77,509
Financial instruments sold, but not yet purchased, at fair value	43,807	42,257
Liabilities of variable interest entities and mortgage loan special purpose entities	30,605	29,080
Accrued employee compensation and benefits	1,651	2,895
Other liabilities and accrued expenses	4,451	2,082
Long-term borrowings	68,538	54,570
Total liabilities	$383,569	$338,304
STOCKHOLDERS' EQUITY		
Preferred stock	352	359
Common stock, $1.00 par value	185	185
Paid-in capital	4,986	4,579
Retained earnings	9,441	9,385
Employee stock compensation plans	2,478	2,066
Accumulated other comprehensive (loss) income	(8)	--
Treasury stock, at cost:	(5,641)	(4,445)
Total stockholders' equity	$11,793	$12,129
Total liabilities and stockholders' equity	$395,362	$350,433

Source: SEC, The Bear Stearns Companies Inc. annual report, 2007.

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Exhibit 13

Bear Stearns and the Seeds of Its Demise

Leverage and Capital Adequacy
(in millions of US dollars, except ratios)

Fiscal Years Ended November 30,	2007	2006
Total assets	$395,362	$350,433
Less: Cash and securities deposited with clearing organizations or segregated in compliance with federal regulations	12,890	8,804
Less: Securities purchased under agreements to resell	27,878	38,838
Less: Securities received as collateral	15,599	19,648
Less: Securities borrowed	82,245	80,523
Less: Receivables from customers	41,115	29,482
Less: Assets of variable interest entities and mortgage loan special purpose entities, net	30,605	29,080
Less: Goodwill & intangible assets	952	383
Subtotal	184,078	143,675
Add: Financial instruments sold, but not yet purchased	43,807	42,257
Less: Derivative financial instruments	13,492	11,865
Net adjusted assets	$214,393	$174,067
Stockholders' equity		
Common equity	11,441	11,770
Preferred stock	352	359
Stock-based compensation	0	816
Total stockholders' equity	11,793	12,945
Add: Trust preferred equity	263	263
Subtotal - leverage equity	12,056	13,208
Less: Goodwill & intangible assets	952	383
Tangible equity capital	$11,104	$12,825
Gross leverage ratio	32.8×	26.5×
Net adjusted leverage ratio	19.3×	13.6×

Gross Leverage Ratios of Bear Stearns' Peers

Years Ended December 31,	Bear Stearns	Goldman Sachs	Lehman Brothers	Merrill Lynch	Morgan Stanley
2003	28.4	18.7	23.7	17.9	24.2
2004	28.5	21.2	23.9	20.7	27.5
2005	27.1	25.2	24.4	19.1	30.8
2006	28.9	23.4	26.2	21.6	31.7
2007	33.5	26.2	30.7	31.9	33.4

Sources: SEC Filings; The Bear Stearns Companies Inc. annual report, 2007; and Compustat.

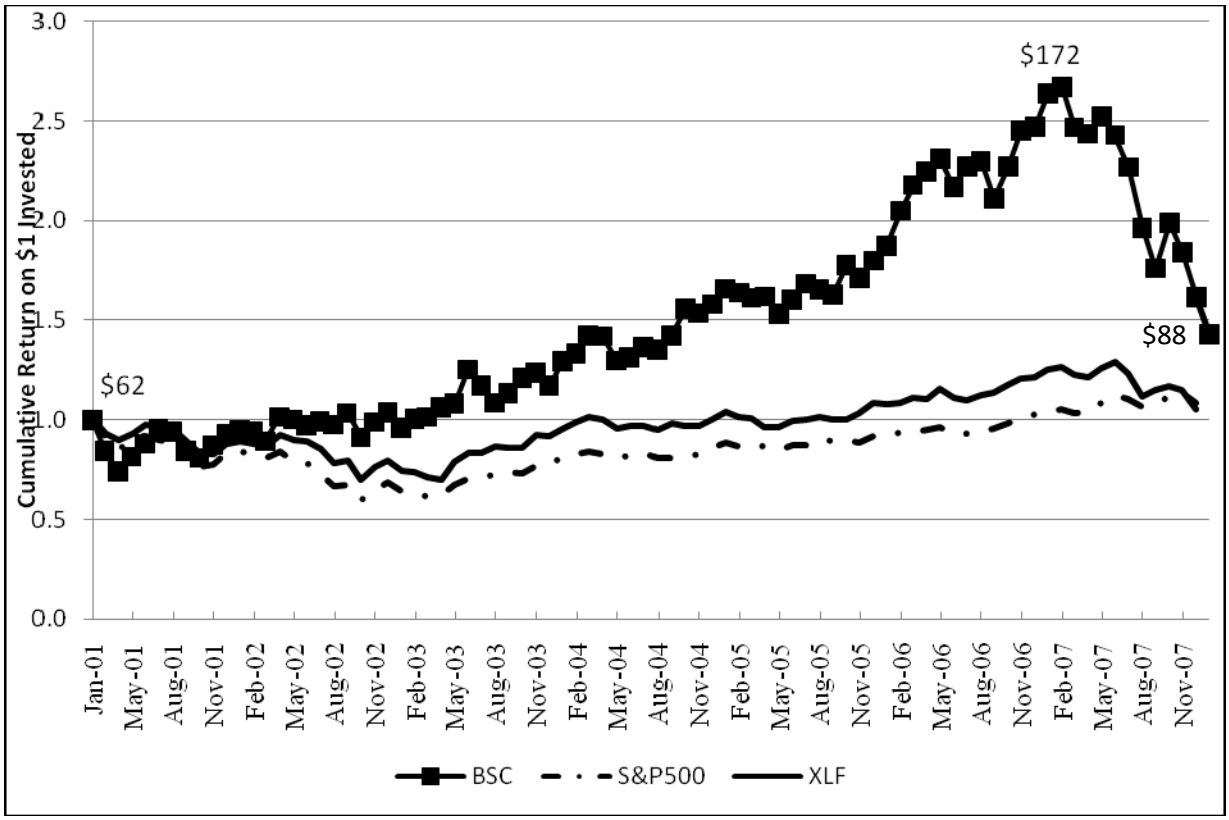
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Exhibit 14

Bear Stearns and the Seeds of Its Demise

Monthly Performance of Bear Stearns's Stock, XLF, and S&P 500 Index: 2001–07



Note: XLF is an exchange-traded fund of financial service companies.

Source: Created by author using data from the Center for Research in Security Prices (CRSP).

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